THE ULTIMATE GUIDE TO LIQUIDITY TRADING

HOW TO MAP AND TRADE INSTITUTIONAL LEVELS THAT ACTUALLY MOVE PRICE



LIQUIDITY

By Sam Sidney

Trading Liquidity - Simplified

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What Is Liquidity?

Liquidity is just money in the market. Think of it as stop losses, pending orders, and clusters where traders are caught on the wrong side.

Price tends to move into or deliver from these pools of orders, because that's where large players like institutions, funds, and smart money, can get filled.

They can't just place huge positions anywhere; they need liquidity to enter or exit without causing chaos and slippage.

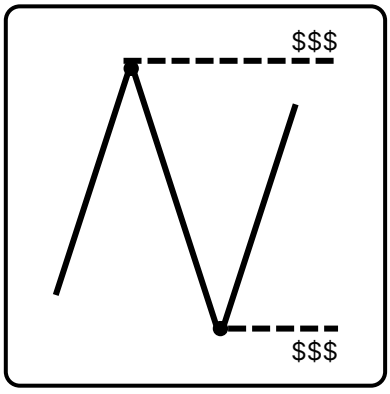
By understanding liquidity, you'll see that price doesn't move randomly. It gravitates towards certain areas to collect orders before heading toward its next destination.

1: Types of Liquidity

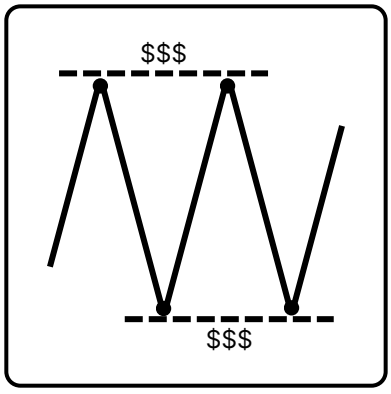
Liquidity isn't random. Price moves because it's hunting orders and those orders usually sit in obvious places on a chart.

By understanding where liquidity forms, you'll start to see why price moves the way it does, and how to use that knowledge to trade with precision.

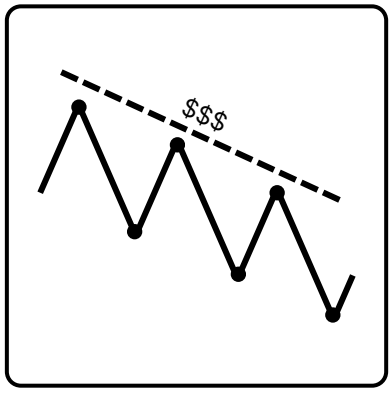
Let's break down the main types of liquidity you'll see again and again:



1: Highs / Lows



2: Equal Highs / Lows



3: Trendline Liquidity

1. Highs & Lows

Every swing high (Buy Side Liquidity) and swing low (Sell Side Liquidity) is a place where liquidity builds up over time. Traders put stop losses above highs or below lows, and the market makers know it.

Look for obvious swing points in a trend where multiple candles reverse. These areas attract stops and pending orders.

The reason highs & lows matter?

• Highs and lows often act like magnets for price.
• They can be used as targets for break-evens, trims, or full take-profits.
• When price takes them out, it often leaves behind a strong reversal or continuation signal.

2. Equal Highs & Equal Lows

When the market prints the same high (or low) multiple times, it creates what looks like “strong support or resistance.” But in reality, it’s just a pool of liquidity waiting to be taken (Swept) as it’s likely a manufactured level.

To spot these levels look for levels where price rejects at the same spot multiple times. To the untrained eye, this looks like a wall, but to us, it’s fuel for the next move.

The reason they matter?

• These areas get swept more often than not.
• A sweep often leads to a reversal in direction.
• EQH + EQL are strong draws on liquidity.

3. Trendline Liquidity

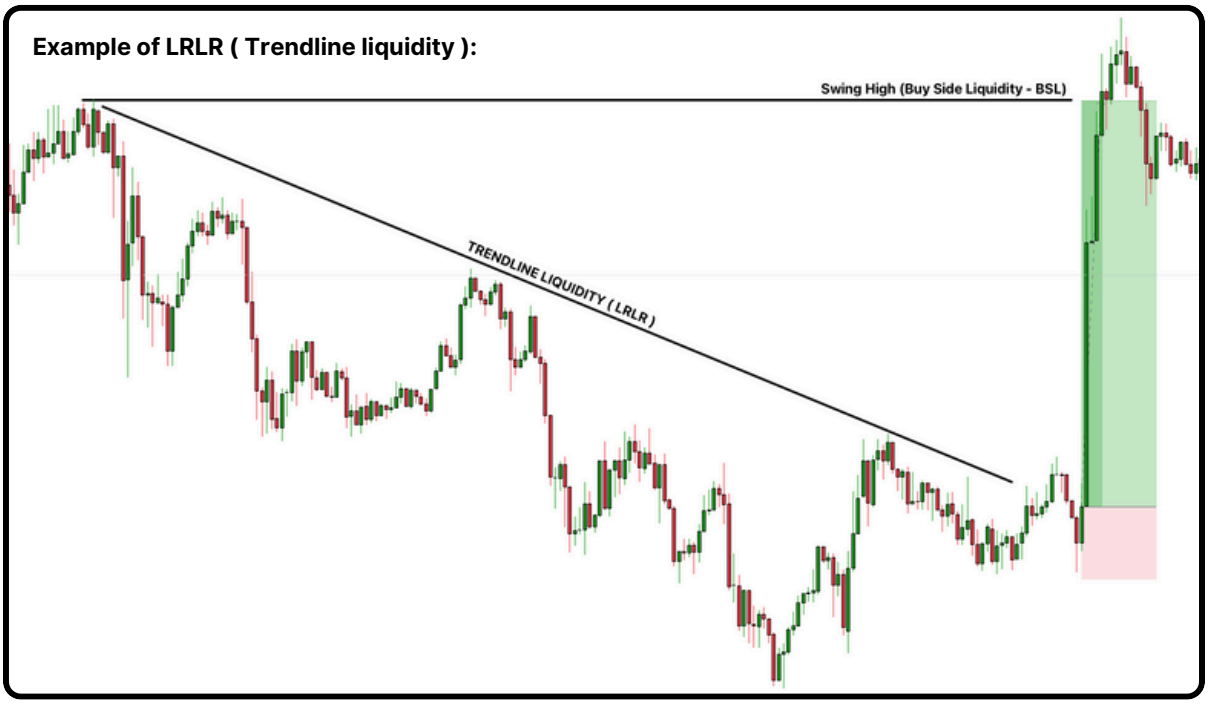
Everyone loves drawing trendlines and enter trades off of them, it’s technical analysis 101. But every touch of a trendline stacks more stops just below or above the new swing point created.

That turns the “trendline” into a giant liquidity pool.

The more touches a trendline has, the stronger the belief in it, and the bigger the trap becomes.

So why do they matter to us?

• This trendline liquidity build up creates a perfect LRLR (Low Resistance Liquidity Run) for us to target and price to trade into.
• Once it breaks, price often runs fast and clean into the next liquidity area.
• These breaks can deliver some of the highest R/R trades when timed correctly.



4. Time-Based Liquidity (Session Highs & Lows)

If you remember back to my guide other guide: “The only times you should ever day trade” you’ll remember each major session (London, New York, Asia) creates its own high and low.

These time based levels are some of the most important areas of liquidity in the entire market as these areas tend to get manipulated the most alongside previous day highs and previous day lows.

To get started in identifying these mark the high and low of each session. Next observe how price often sweeps one of these levels before making its true move.

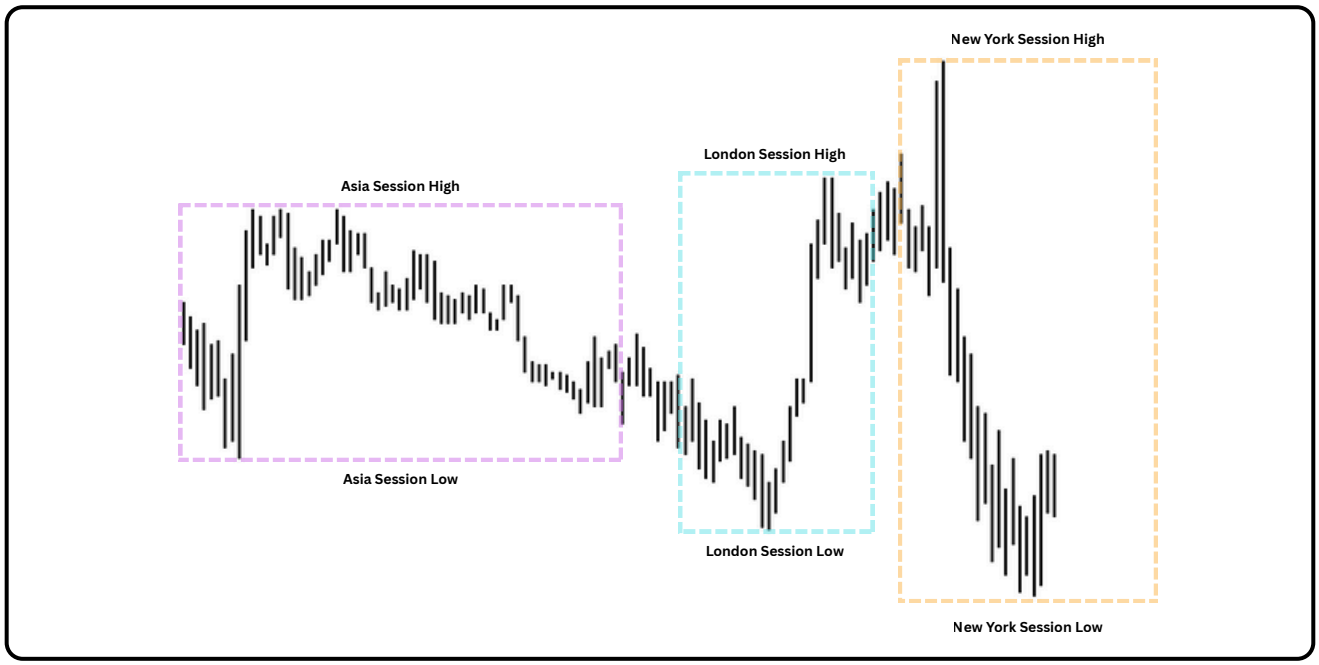
Even more powerful setups form when session liquidity lines up with equal highs or lows built in front of a key point of interest (like a fair value gap or order block).

These are what we call “A+ draws on liquidity”, high-probability zones that institutions target over and over again.

Why does “TBL” matter?

- Time based liquidity has likely been sitting there for a longer period of time.
- Session highs and lows are the best and most reactive entry points in the market.
- TBL helps us align with institutions, who drive liquidity during key periods.
- Trading around session liquidity, especially when it lines up with other liquidity pools, like equal highs/lows at a point of interest (POI) often provides the cleanest entry setups and the fastest, most efficient trades when executed correctly.

Example Of Time Based Liquidity:



Liquidity is not just about finding stops it's about timing entries for higher reward, protecting capital by not trading until a certain level is hit, and targeting exits with more precision.

Each type gives you a clue as to where price is headed next.

Inside Playbit, our entire trading model (that we trade live in front of the public every day) is built largely around reversals at these time based liquidity levels. It's the exact approach that has secured 169.6 R this year, tracked across 12 months of live trades in a public journal you can actually see.

You literally can't fake that amount of proof that liquidity is one of the most important concepts you can learn as a trader.

More on how you can learn that strategy for free later on, for now let's get into liquidity sweeps and manipulation, we've briefly touched on both concepts now let's go in depth.

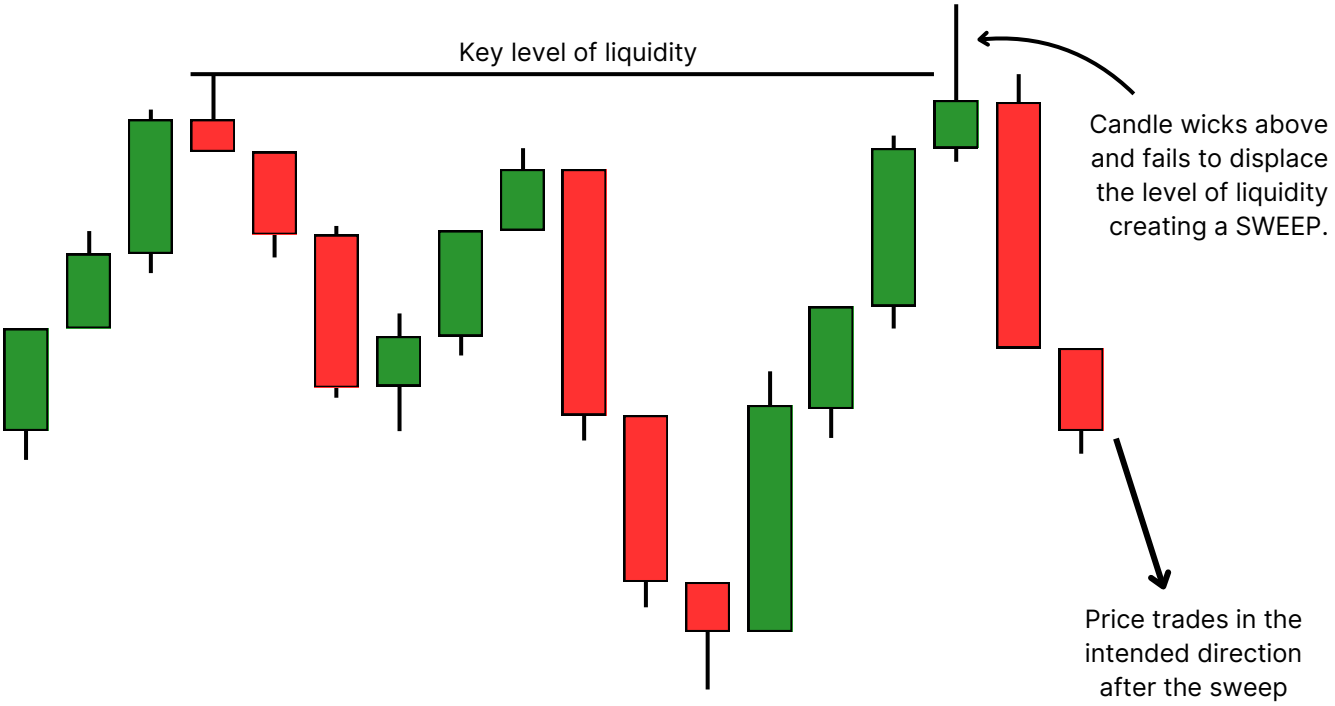
2: Liquidity Sweeps & Manipulation

A liquidity sweep happens when price pushes through a well-known level (like equal highs, equal lows, or a session high/low), triggers stop losses or breakout traders, then quickly reverses.

Think of it as the market hunting for fuel to fill orders before it can move its intended direction.

How it works / How to identify them:

- Look for sharp wicks that break EQH/EQL, trendline liquidity, or TBL.
- Price quickly rejects back inside the range instead of continuing.
- Confirmation often comes when price fails to displace the level of liquidity.
- Use it by anticipating entries after the sweep, not before it wait for then rejection.



Tip: Sweeps show us that price is respecting that level, it's important not to confuse a sweep with a normal breakout. A breakout (displacement) above a level of liquidity shows continuation, while a sweep shows rejection.

Now why do they matter?

Sweeps give you the "heads-up" that the real move is about to start and allow you to position yourself with smart money, instead of against it.

When you know how to read them:

- You can stop getting trapped in false breakouts.
- You can start using sweeps as confirmation signals.
- You align with where smart money is getting their orders filled.
- You'll have a greater probability of your trade hitting TP.

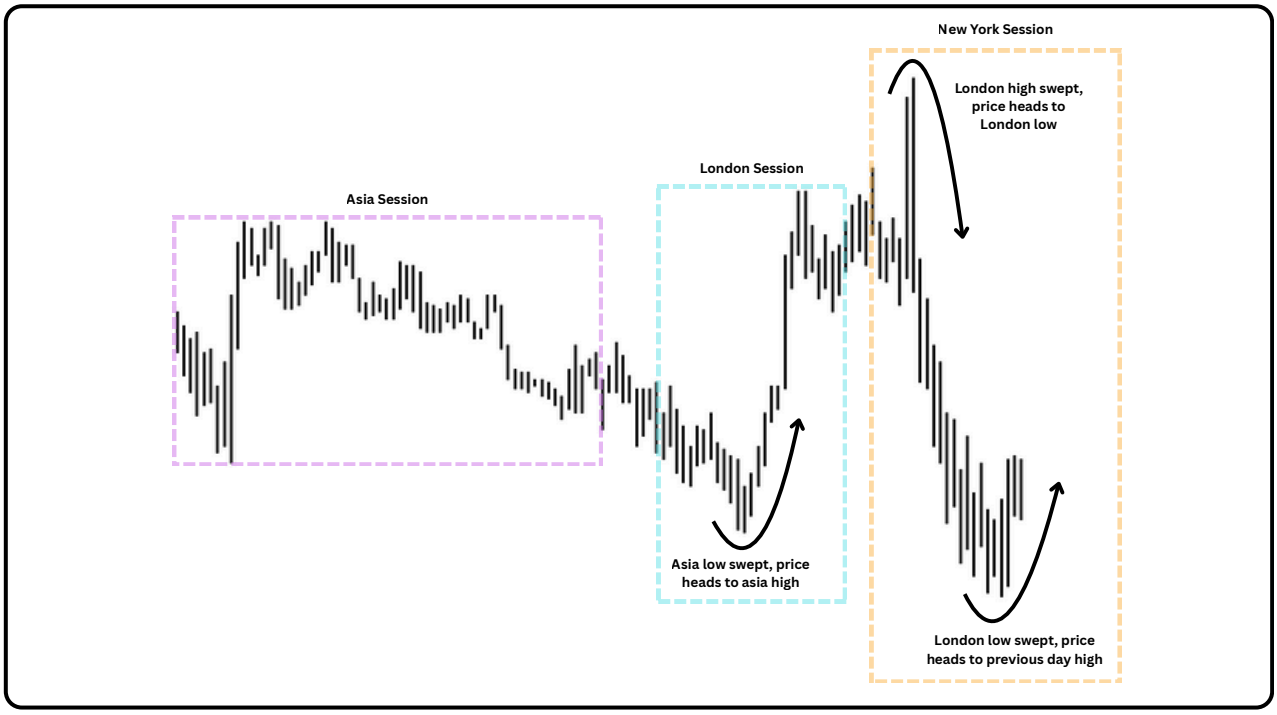
Price never just sweeps for no reason, it sweeps one pool of liquidity, then moves to another, for example:

1: Asia creates a clear low.

2: The London session opens and runs that Asia low, collecting liquidity.

3: Instead of reversing randomly, price then travels to the next liquidity pool, in this case, the Asia high.

4: Later, New York opens, sweeps the London high, and drives price down toward the next level of resting liquidity (e.g., London low or a higher timeframe POI).



This is know as liquidity-to-liquidity (liq-to-liq) movement: the market hunts one pool, then seeks the next. Understanding this rhythm between sessions helps you anticipate the destination (draw on liquidity) of the move, not just the sweep itself.

Now you should be able to see, sweeps aren't just random spikes. They're one of the clearest signs that the market is engineering liquidity. Once you spot them, you'll notice the "real" reversal almost always starts right after the sweep of time based liquidity.

3: Displacements

Displacement is an aggressive move in price (a fast, impulsive candle or series of candles) that breaks through structure and confirms a shift in order flow. It's the footprint of institutional activity in the market.

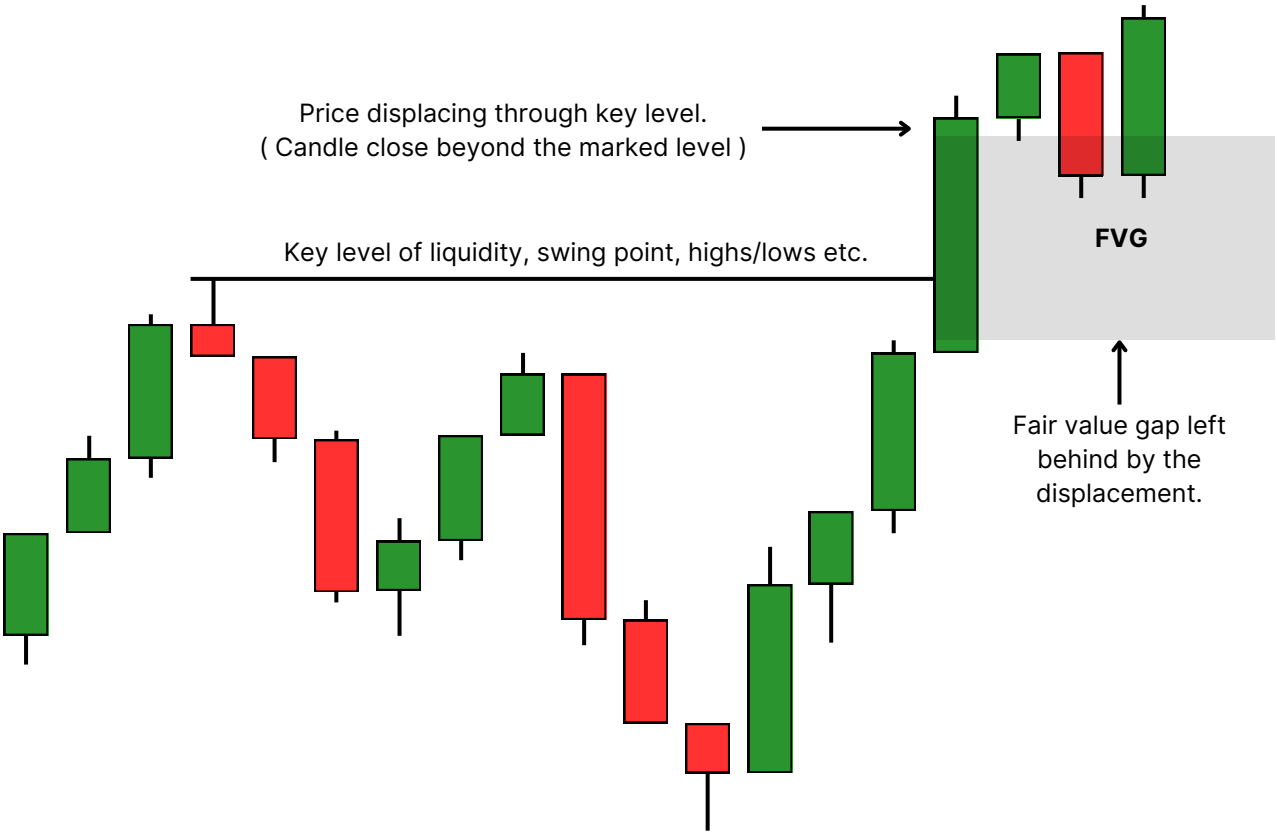
How it works / How to identify them:

• Look for large, impulsive candles with little to no wick, closing beyond a key high/low or level of liquidity.

• The close above/below the level shows a surge of orders entering the market, often pointing to continuation.

• Displacement seen across multiple timeframes (1M, 3M, 5M, 15M) gives stronger confluence and clarity on direction.

• The imbalance/FVG left behind by the displacement becomes a high-probability entry area to join the move if given the opportunity.



Tip: Sweeps show rejection, but displacements show strength. A displacement that leaves behind an FVG above a key high (or below a key low) shows continuation, while a sweep followed by inversion of that FVG warns you of a reversal.

Now why do they matter?

Displacements are the “confirmation” behind a move. They show you whether the market intends to trend to the next level of liquidity or shift direction:

• A displacement + FVG beyond liquidity shows continuation, smart money is committed to pushing price further.

• A sweep + inversion of the breakout FVG signals reversal, the level has flipped and price is likely to move the other way.

When you know how to read them:

• You can separate fake volatility from real intent.
• You can use FVGs left behind by displacement as precise entry points.
• You'll know when continuation is valid, and when a sweep warns you to flip bias.
• You'll have higher conviction holding trades toward target, instead of cutting early.

Section 6: Putting It All Together

At its core, price moves in a repeating cycle of reactions. Liquidity is built, liquidity is swept, displacement confirms direction, and price delivers into the next pool.

This isn't theory, it's the reason behind every swing, every candle, and every trend.

When you strip away the noise, each phase leaves a footprint on the chart:

• Build: Equal highs/lows, tight consolidations, or clean structures where stops are obvious.
• Sweep: A sharp wick through a key level, taking out the liquidity.
• Displace: A strong, decisive candle breaking structure showing strength.
• Deliver: Price moves efficiently toward the next area of liquidity or imbalance, often respecting fair value gaps along the way.

Instead of reacting to random moves, you can now begin to anticipate the sequence. You're no longer asking, "Why did price move like that?" but "Where is the next pool waiting?" and "Where is price delivering from?"

This mindset keeps you patient, you wait for the sweep, you wait for displacement, and then you ride delivery into the most logical target.

This is the shift from confusion to clarity. You don't need predictions you need anticipation.

By following liquidity to liquidity, you stop chasing the market and start reading it.

You act on confirmation, not guess work, which is what separates a consistent trader from a gambler.

Every trade you take from here on out should fit somewhere in this sequence.

When you view price this way, the charts stop looking random. They become a story, a story written by liquidity.

The Next Step: Learn the Playbit ILM Strategy

Now that you've seen how price truly moves, the next question is: how do you actually trade this with precision and consistency?

That's where the PlayBit ILM Strategy comes in.

This isn't just some recycled setup you've seen on YouTube or ChatGPT.

It's a data-backed trading framework, developed and refined by professional traders who are live in the markets every single day.

Built with simplicity and results in mind

Right now, over 1,000 traders are using ILM to:

- Pass funding challenges.
- Extract real profits.
- Grow their trading accounts sustainably.

And PlayBit has done the heavy lifting for you by tracking everything:

- Overall win rate
- Monthly performance data
- Average R per trade
- Max trade durations
- Max consecutive wins/losses
- Total PnL breakdown by strategy
- ...and more

Month Of The Year	Win %	R	TRDS	W's	L's
January	67%	9.3	9	6	3
February	87%	11.2	15	13	2
March	78%	16.8	18	14	4
April	55%	16.7	22	12	10
May	53%	24.3	19	10	9
June	35%	11.1	20	7	13
July	58%	11.6	19	11	8
August	53%	9.5	19	10	9
September	72%	18.8	18	13	5
October	86%	21.0	21	18	3
November	56%	8.9	18	10	8
December	59%	10.5	17	10	7
Total	62.3%	169.6	215	134	81

Stats	
Win Rate	62.3%
Breakeven Win Rate	36.6%
No. of Trades	216
No. of Winning Trades	134
No. of Losing Trades	75
No. of Breakeven Trades	6
Max. Consecutive Wins	10
Max. Consecutive Losses	5

R Stats	(R)
R from Winning Trades	232.0
R from Losing Trades	-62.4
Net R	169.6
R of Avg. Trade/ Expectancy	0.8
R of Avg. Win	1.7
R of Avg. Loss	-0.8
R of Largest Win	14.6
R of Largest Loss	-2.0
Max. Consecutive R Won	26.3
Max. Consecutive R Lost	-5.0

Day	Win %	R	TRDS	W's	L's
Monday	60%	39.6	48	29	19
Tuesday	51%	29.9	57	29	28
Wednesday	64%	23.5	33	21	12
Thursday	68%	33.7	41	28	13
Friday	75%	35.9	32	24	8
Saturday	0%	-1.0	1	0	1
Sunday	100%	8.0	3	3	0
Total	62.3%	169.6	215	134	81

This means you're not just learning a "setup."

You’re plugging into a proven system that removes the guesswork from trading.

Learn the ILM Strategy for FREE by tapping THIS LINK.

(It takes less than a day to learn, and it’s built for repeatable results.)

Need help applying it?

Every week the team run free live trading sessions:

Stream 1 = Every Sunday where one of our mentors runs through a 45-60 minute market outlook and weekly preparations for the week ahead. Bring questions.

Join here for free: TAP HERE

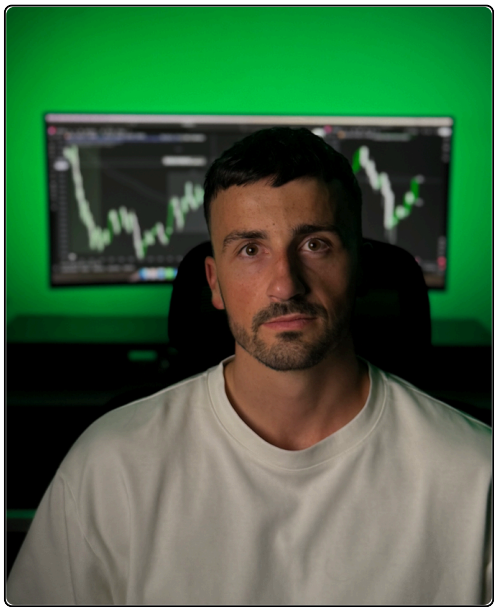
Stream 2 = Every Tuesday NY AM Futures Session 9:15 EST (Public) Trade the NY open with the team, watch live execution, and learn the logic in real time.

Join here for free: TAP HERE

Final Note

If you found this guide helpful, don’t stop here.

Check out my other trading guides, follow me on socials, and share this with another trader who needs to see it.



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